



Product Program

VISA Credit Cards

Retail Banking Group

February 2023

Table of Contents

Introduction (Scope).....	5
Credit Card Statements	5
Target Market & Acquisition Strategy	6
Competitive & Economic Environment.....	7
Product Pricing & Fee	10
Risk Acceptance Criteria	11
Documentation	25
Portfolio Caps.....	26
Verifications	28
Deviation Matrix.....	30
Credit Initiation	32
Account Maintenance.....	33
Permanent Limit Enhancement.....	33
Temporary Limit Enhancement.....	34
Card Upgrade/Downgrade	35
Cross Product Blocking	36
Card Operations	37
Collections.....	39
Recovery	41
Fraud Risk Management & Online Authorization.....	43
Block Code Delegation Matrix.....	49
Provisioning & Write-Off Policy.....	51
Classification and Provisioning.....	51
Contractual Charge-off / Write-off Policy.....	51
Financial Treatment for Charged-off Accounts	51
Early Write-off.....	51
Finance	52
IT Support	Error! Bookmark not defined.

**JSBL Credit Cards Product Program
Approval Worksheet**

Credit Card Product Program	
Country	Pakistan
Renewal	Biennial
Approved Peak Outstanding	PKR 3 Billion

Prepared By

Javeriah Sabir	
----------------	--

Reviewed By

Nafas Nauman	
Adeel Ahmed Khan	
Muhammad Ghufraan	
Rafi Mustafa Azad	
Faisal Javed	

Approved By

Fahad Siddiqui	
----------------	--

Amir Fahim Lodhi	
Ahmed Ali Usuf	
Aziz Morris	
Sadeed Barlas	
Atif Salim Malik	
Imran Haleem Shaikh	
Basir Shamsie	

Introduction

(Scope)

This document is the Product Program for JS Bank Credit Cards. This document covers business strategy, product strategy, credit policy and operational aspects for the JS Bank Credit Cards business.

Product Description

Features	Offering
Buy Now Pay Later	Free Credit up to 51 Days
Card Association	Visa
Product Variants	Classic Gold Platinum Signature Corporate Charge Card
Global Acceptance	Accepted at around 44 million retail establishments worldwide
Flexible Repayments	Minimum Payment of as little as 5% of outstanding amount
Supplementary Cards	Up to 6 supplementary cards for the cardholder's family
Chip Technology	EMV Chip / Magnetic Stripe technology
Installment Plan	Equal monthly installment plans with tenures ranging from 3 – 36 months
Cash Advance	Cash advance limit, according to market segment, available as cash 24 hours a day at any ATM across Pakistan and worldwide through the Visa Network
Credit Shield	Card payment cover against card member's illness, disability or death
Balance Transfer Facility	BTF from any other Bank's unsecured product loans
Rewards Program	Cash-back based on spend
E-Statements	Electronic statements to registered email addresses
SMS Alerts	SMS Alerts including transactions (Retail/Cash Advance) alerts, statement alerts, payment reminders and birthday alerts
Phone Banking	Round the clock Call Center
Utility Bill Payments	Payments through Call Center, ATM & Net Banking.
Internet Banking	Internet Banking facility for card enquiry, card payments, bill payments, card statements etc.
Mobile Banking	Card Enquiry and Payments
Bill Payment	Bill payment option through branches, Internet banking, ATM and Mobile
Over-limit Threshold	5% of Total limit across all variants at no charge

Credit Card Statements

The Bank shall send monthly email or dispatch or courier the Statement of Account to the Cardmember at his or her last known billing address or in case of return of mail at the last known billing address or at the alternative address

Target Market & Acquisition Strategy

- Branch Banking customers across Network (Applicant to either have residence or office in the respective JSBL Branch city)

New to Bank Customers

- Service Area Tier 1 Cities: 30 kms from City municipal limits will be applicable for service area in solicited cities. 10 km extension applicable for salaried segment. Cities where collection setup exists (Karachi, Lahore, Islamabad, Gujranwala, Multan)
 - Service Area Tier 2 Cities: Cities where branches exist
 - Service Area for Employee Banking Segment: Above service area conditions do not apply for EB Segment.
 - Approved Companies would be entertained in all cities for Credit Cards.

The extension in above service/municipal limit is subject to collection and verification presence/ structure.

Bulk Acquisition Pilot Deals proposed by Business, with separate Risk Acceptance Criteria, Program Limits and pricing on a case-to-case basis (Subject to all Regulatory compliance), with the approval of Head of Products, Head of Consumer Risk, Group Head Retail Banking and CRO.

Issuance of Test Cards: Any test card to ascertain any functionality of the system or new product feature shall be issued based on the approval of Head of Products. The maximum limit of such cards will remain PKR 10,000, and these cards must be closed within 12 months of issuance. Any fees/charges may be reversed by Head of Products for such cards. All Test Cards to be reviewed by and renewable as per of Head of Products discretion.

JS Bank will also maintain “Don’t call list” comprising the contact details of those customers who do not want to be contacted for promotional calls.

Competitive & Economic Environment

Economic Overview

After witnessing a Covid-led downturn in FY20, Pakistan's economy rebounded during FY21, with real GDP growth rising to 3.9 percent (**Table 1.1**). This growth was achieved without the widening of the twin deficits. The current account deficit (CAD) dropped to a 10-year low and contributed to the build-up in the foreign exchange reserves. The fiscal deficit edged down despite the Covid-related spending, allowing for a reduction in the public debt-to-GDP. Some easing was also noted in the headline CPI inflation on the back of stable core inflation, though overall price levels, especially of food items, stayed elevated owing to supply-side challenges.

Pakistan also fared well compared to many other countries in terms of real economic activity, exports and public debt accumulation during July 2020-June 2021 (**Figure 1.1**). This performance was enabled by two major factors: (i) the country's success in navigating through multiple waves of Covid-19 with targeted mobility restrictions; and (ii) a prompt, well-coordinated and targeted monetary and fiscal response, aimed at countering the impact of Covid on economic growth and livelihoods.

Selected Economic Indicators

Table 1.1

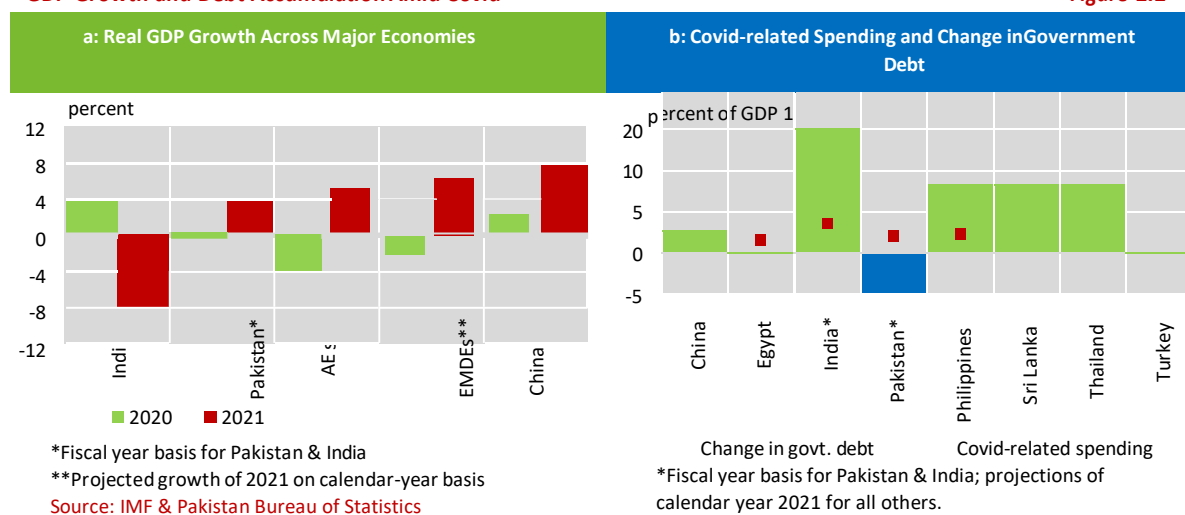
	FY19	FY20	FY21
<i>Growth rate* (percent)</i>			
Real GDP ^a	2.1	-0.5	3.9
Agriculture	0.6	3.3	2.8
Industry	-1.6	-3.8	3.6
o/w LSM	-2.3	-9.8	14.9
Services	3.8	-0.6	4.4
CPI (period average) ^a	6.8	10.7	8.9
Private sector credit ^b	11.6	2.9	11.2
Money supply (M2) ^b	11.3	17.5	16.2
Exports ^b	-2.1	-7.1	13.7
Imports ^b	-6.8	-15.9	23.3
Tax revenue –FBR ^c	-0.3	4.4	18.4
Exchange rate (+app/dep%) ^b	-24.1	-4.8	6.7
Policy rate ^b	12.25	7.0	7.0
<i>billion US dollars</i>			
SBP's reserves (end-period) ^b	7.3	12.1	17.3
Workers' remittances ^b	21.7	23.1	29.4
Current account balance ^b	-13.4	-4.4	-1.9
<i>percent of GDP</i>			
Fiscal balance ^d	-9	-8.1	-7.1
Current account balance	-4.8	-1.7	-0.6
Investment ^a	15.6	15.3	15.2

* The numbers relating to real GDP growth rate and its sub-components for FY19, FY20 and FY21 represent final, revised, and provisional estimates respectively.

Sources: ^a Pakistan Bureau of Statistics; ^b State Bank of Pakistan; ^c Federal Board of Revenue; ^d Ministry of Finance

GDP Growth and Debt Accumulation Amid Covid

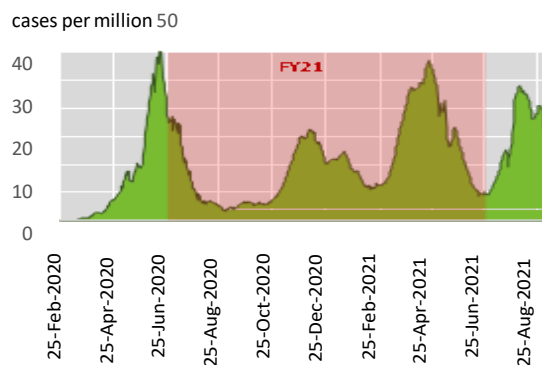
Figure 1.1



Pakistan successfully navigated through two waves of the pandemic during FY21 without imposing wide-scale shutdowns of industry and services. The authorities' focus on strict implementation of SoPs, smart lockdowns and contact tracing helped contain the spread of the disease, especially during the third wave (**Figure 1.2**). Notably, Pakistan ranked among the best performing countries for its effective handling of Covid-19.¹ Furthermore, the initiation of Covid vaccinations from March 2021 onwards and the gradual pickup in its pace and coverage, together with supportive economic policies, helped sustain the economic momentum.

Pakistan: New Covid Cases

Figure 1.2



Source: ourworldindata.org

In terms of policy stimulus, the SBP provided aggressive liquidity support via multiple policy tools after the outbreak in March 2020, which stood around 5 percent of GDP by the end of FY21. Refinance schemes were introduced to shore up employment and the healthcare system, and to stimulate long-term investment in the economy (**Figure 1.3**).

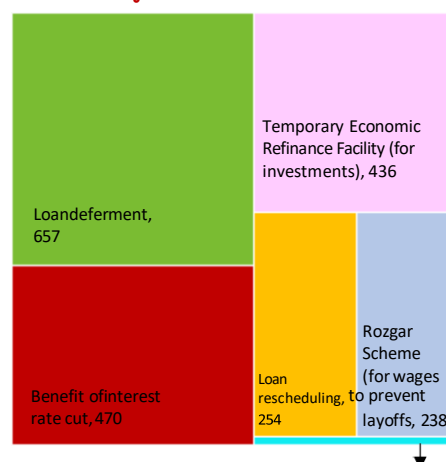
Specifically, the Rozgar Scheme provided payroll support to businesses so they could retain their workers, and was instrumental in getting firms to restart their operations immediately after the reopening of the economy. In the same vein, the loan deferments and restructurings enhanced the liquidity position of firms and consumers, which helped prevent delinquencies.

Meanwhile, the Temporary Economic Refinance Facility (TERF) would shore up the long-term productive capacity in the economy. The SBP maintained an accommodative monetary stance, by keeping the policy rate unchanged during FY21, after a sharp 625 bps reduction during Mar-Jun 2020.

a Estimated Liquidity Impact of SBP's Major Relief Measures (as of June 30, 2021)*

billion Rs

Figure 1.3



Refinance Facility for Combating
Covid-19 (for hospitals), 18

* The overall size of SBP support is Rs 2,073 billion. **Source:**
State Bank of Pakistan estimates

Importantly, SBP liquidity support sheltered both small and big businesses. Specifically, for the loan deferment and restructuring package and the Rozgar scheme microfinance institutions had about 94.1 percent and 74.4 percent share in the total applications approved by SBP, and constituted around one-fifth share in the actual benefits availed by businesses from these schemes.

Product Pricing & Fee

The maximum limit for the product pricing will be announced through the Schedule of Charges. Any amendments in the pricing or fee within the Schedule of Charges ceiling will be announced by the Product Management unit to concerned departments through an email. The authority for any change in the pricing or fee lies with the of Head of Products. The charges are communicated to customers at the time of application solicitation through Key Fact Sheet which contains information related to product features, interest rates and applicable charges.

For any charge/fee/penalty prior to write-off which has an impact on the product profitability and is recovered by any unit of the bank, the authority to any unit head to waive or reduce these charges will be delegated by the Group Head Retail Banking

Features	Offering	
Annual Fee - Basic Card	Classic	3,500
	Gold	5,000
	Platinum	9,000
	Signature	10,500
	Corporate Charge Card	1,200
Annual Fee - Supplementary Card	Classic	1,650
	Gold	2,500
	Platinum	4,500
	Signature	5,250
APR	45.00% p.a. (3.75 % per month)	
Other Fees & Charges	As per Bank's published SOC from time to time	

Risk Acceptance Criteria

Basic Eligibility Criteria		
Target Market	Salaried Individuals	• Large Target Market - Approved Companies List - Government Employees/Armed Forces • Small Target Market - Approved Companies List • Employee Banking Segment (Large Target Market & Small Target Market) Salaried Individuals whose salary is being transferred in JS Bank. Corporate deals will be made with organizations for bulk sales, covering salary transfer to JS Bank. Customer in this segment should be currently employed and 1 salary credit in JSBL is mandatory. For Approved Companies: No minimum employment requirement for Employee Banking segment – should be currently employed and must have appointment letter on company letterhead with salary details.
	Self Employed Individuals	• Self Employed Businessmen (SEB) Predominantly these individuals run businesses as Sole Proprietorship, Partnership concerns, and family concern businesses. • Self Employed Professionals (SEP) This segment includes professionals who have acquired professional and technical education before commencing their own businesses such as doctors, chartered accountants, engineers etc. • Others Individuals with other sources of income i.e. Landlords, Retired Individuals, Individuals with regular rental income, Foreign remittances or Pay Continuation income (Insurance) etc.
	Relationship Based Customers	• Asset Relationship Preferred Customer Having minimum 12 month Asset Relationship Head of Product or Distribution Head-Consumer Approval required for 6 – 12-month relationship 6 month relationship (portfolio cap 5%) • Branch Relationship Preferred Customer • Having minimum relationship benchmark with JS Bank - minimum 06-month branch banking / Digital Banking relationship with income proof, average balance of Rs. 50k or Sum of credit transaction method for last six months with margin (25%), for 12-

Basic Eligibility Criteria											
		month relationship minimum income would be Rs. 75k . 12-month relationship required with minimum income of 100k for those who does not have income proof. - Two methods used for income calculation, average balance for last 12 months, and other is the sum of credit transactions for last twelve months divided by 12 and multiply by margin (20%) Covered below page 18-19 BTF Customers who transfer balance from other banks to enjoy less markup rates									
Security/ Collateral	Unsecured										
Currency	PKR										
Citizenship	- Pakistani Nationals having CNIC/NICOP - Foreign Nationals presently resident in Pakistan with company letter of Comfort (Approved Companies)										
Geographic Concentration	- Branch Banking customers across Network - New to Bank Customers - Service Area Tier 1 Cities: 30 kms from City municipal limits will be applicable for service area in solicited cities. 10 km extension applicable for salaried segment. Cities where collection setup exists (Karachi, Lahore, Islamabad, Gujranwala, Multan) - Service Tier 2: Cities where branches exist - Service Area for Employee Banking Segment: Above service area conditions do not apply for EB Segment - Approved Companies would be entertained in all cities for Credit Cards. The extension in above service/municipal limit is subject to collection and verification presence/ structure.										
Age	Primary Card Holder: <table border="1"> <thead> <tr> <th>Age</th><th>Salaried</th><th>Self Employed</th></tr> </thead> <tbody> <tr> <td>Minimum</td><td>21</td><td>18</td></tr> <tr> <td>Maximum</td><td>60 (with credit protector)</td><td>70 (with credit protector)</td></tr> </tbody> </table>		Age	Salaried	Self Employed	Minimum	21	18	Maximum	60 (with credit protector)	70 (with credit protector)
Age	Salaried	Self Employed									
Minimum	21	18									
Maximum	60 (with credit protector)	70 (with credit protector)									

Basic Eligibility Criteria			
			minimum age of 18 years will only be for university students and women, 21 years age minimum age for other segments Supplementary Card Holder: Minimum 13 years No Maximum Age Limit
Minimum A Score Cut-off	A score should be above 179		
Minimum Gross Income Criteria	Approved Companies	40k - 70k HBC - Permanent (3 Gross) HBC - Contractual & NTI - Permanent (2 Gross) NTI - Contractual (1.5 Gross) > 70k HBC - Permanent (4 Gross) HBC - Contractual & NTI - Permanent (3 Gross) NTI - Contractual (2 Gross)	
		- For Platinum customers(>350k), limit will either be assigned through 6 multiples or 39% DBR whichever is higher - PKR 1000 variation in income will be accepted under normal criteria. - Permanent includes employees on their probationary period leading to permanent position after confirmation (- Regular allowances and perks will be included in net income - Only 75% of the average of last 6 months performance incentive/bonuses/expenses & other variable income to be included in net income. - Govt. Employees having Monthly Income of 70k & above would be offered Credit Cards with a condition that their permanent residence or office should be in Tier 1 or Tier 2 cities. - Armed Forces Employees having Monthly Income of 85k & above would be offered Credit Cards with a condition that their permanent residence or office should be in Tier 1 or 2 cities.	

Basic Eligibility Criteria		
	Unapproved Companies (with no eCIB)	70k - 100k HBC - Permanent (2 Gross) HBC - Contractual & NTI - Permanent (1.5 Gross) NTI - Contractual (1 Gross) > 100k HBC - Permanent (3 Gross) HBC - Contractual & NTI - Permanent (2.5 Gross) NTI - Contractual (2 Gross) • PKR 1000 variation in income will be accepted under normal criteria. • Permanent includes employees on their probationary period leading to permanent position after confirmation • Regular allowances and perks will be included in net income • Only 75% of the average of last 6 months performance incentive/bonuses/Expenses & other variable income to be included in net income • Govt. Employees having Monthly Income of 70K & above would be offered Credit Cards with a condition that their residence or office should be in Tier 1 or Tier 2 cities. • Armed Forces Employees having Monthly Income of 85k & above would be offered Credit Cards with a condition that their residence or office should be in Tier 1 or 2 cities. • Customer with eCIB history of 24 months will be considered as approved list company (A & B companies)
	Employee Banking Segment (Permanent & Company Contractual/Outsourced)	Gross Income: PKR 30,000 • PKR 1000 variation in income will be accepted under normal criteria. • Regular allowances and perks will be included in net income • Where landline or UAN number is not available in office premises, Branches (BM) / EB (Team Leader) can conduct physical verification. • The verification will be validated by GM and/or Head of Employee Banking if/when conducted by their team members. • For Salary 30K - 100K HBC 2 Gross NTI 1.5 Gross • 100K to 199 K HBC 3 Gross NTI 2 Gross

Basic Eligibility Criteria		
		200K and above HBC 5 Gross NTI 4 Gross No Solicitation Caps
	Self Employed Businessmen/Self Employed Professionals/Others	Minimum Estimated Income: Income from 60k to 100K HBC: 2 Gross NTI: 1 Gross Income from 100K and above HBC: 3 Gross NTI: 2 Gross
Length of Employment/ Business	Salaried LTM / STM	<u>HBC (History Based Customer)</u> Permanent: Currently employed for 01 Month Contractual: Overall employment including previous where applicable 06 Months <u>NTI (New to Industry Customer)</u> Permanent: Overall employment including previous where applicable 03 Months Contractual: Overall employment including previous where applicable 06 Months
	Employee Banking Segment	- No minimum employment requirement for Employee Banking segment – should be currently employed and 1 salary credit in JSBL is mandatory. - If EB Relationship tenure is less than 3 months of the company, then Salary Slip required
	Self Employed Businessmen/Professionals/Others	- Self Employed Businessmen: Total Business tenure of 01 Year - Self Employed Professionals: Total Experience/Business Tenure of 01 Year - In case of SEP, a copy of professional degree is required - Others: Continuous verified income stream of 01 Year If proof of business is < 1 year, then market check would be required (to be determined) Cloud Data/Branch EV report
Minimum & Maximum Limit		- Minimum Limit: PKR 25,000 (PKR 10,000 for Test Cards). The minimum credit limit should not be less than PKR 25,000 apart from qualifying multiples of various segments. - Maximum Limit: PKR 3,000,000 provided overall industry wide unsecured exposure does not exceed PKR 3 million. As per PR

Basic Eligibility Criteria		
	- Industry wide exposure on all Un-secured products may be managed at PKR 7,000,000 for Prime Customers as per Prudential Regulations. - Maximum/minimum limit thresholds can be changed with joint approval of Head of Product or Distribution Head-Consumer and Consumer Risk Head.	
Product-wise Credit Limits	Minimum Limit for Classic Card Minimum Limit for Gold Card Minimum Limit for Platinum Card Minimum Limit for Signature Card	PKR 25,000 PKR 100,000 PKR 350,000 PKR 1,000,000
Cash Advance Limit	All Categories	40%
Supplementary Cards	6 Supplementary Cards per Basic cards. - For supplementary cards, primary card holder consent is mandatory. - NIC for supplementary card holder	
Maximum Industry-wide Unsecured exposure	- PKR 3,000,000 for Credit Cards - PKR 7,000,000 for All Un-secured Products – for Prime Customers or as per SBP guidelines. - As per PR for prime & non-prime	
Bureau Relationship Definitions (eCIB)	History Based Customer (HBC): Any Customer with equal to or more than 12 months Consumer Credit History on credit bureau New to Industry Customer (NTI): Any Customer with less than 12 months Consumer Credit History on credit bureau	
Max. Debt Burden Ratio (Industry wide products)	Max Aggregate Debt Burden Ratio (All Segments): As per SBP regulation/ As per PR Lien based card does not require DBR calculation. however, the requirement of maximum DBR may be waived with minimum 30%* margin. (regular policy parameters will not apply but ecib will be obtained in compliance with PR) * Minimum margin level has been set in line with SBP regulation. Any change in regulation including any relaxation(s) will supersede this section. <u>Total Debts to include:</u> - Minimum Payment (5%) of Credit Card applied at JS Bank - EMI of Term Loans appearing in the Credit Bureau Reports 5% of the limit of the existing credit cards and revolving credit (e.g., Ready Cash / Cash Line) <u>Total Income to include:</u> - Salary slip: Net income plus other approved income for salaried applicants with documented proof. - Estimated net income plus other income for Self Employed Professionals (SEP) and Self-Employed Businessmen (SEB). (Income estimation methods are covered separately in the respective section). - Other recurring income with discreet and verified proof for the same (as per assessment by Credit Initiation Unit) – as mentioned in the income criteria for each segment.	

Basic Eligibility Criteria	
eCIB Delinquency History /	The following Credit Bureau check to be applied to all new Credit Card Applications, Card Reinstatement (More than 60 days from cancellation) and Limit Enhancement. Request for reinstatement of card within 60 days be considered without any requirement. - All Applicants (New/Upgrade/Enhancements) to be screened through Credit Bureau with the following criteria: - Presently current in all products - Not more than once in 30DPD in the last 6 months - Not more than twice in 30DPD in the last 12 months - Never in 60DPD in last 12 months - Up to PKR 20,000 amount in default/write off in delinquency in last 12 months with either NOC or Zero outstanding will be processed under normal criteria without exception Any amount over and above this where payment proof/NOC/clear in bureau has been provided then case will be processed as per deviation matrix <u>Default Criteria</u> - Any settlement of defaults/write off older than 12 months with either NOC or Zero outstanding will be processed without deviation. However, customer should be availing an active consumer product in ECIB/bureau for last six months. If Fresh 6-month history is not available, case may be processed on Level 2 deviation. - Under eCIB consideration, up to Rs. 20,000/- amount in delinquency in last 12 months with either NOC or Zero outstanding will be processed under normal criteria without exception. However, customer should be availing an active consumer product in ECIB/bureau for last six months. If Fresh 6 months history is not available, case may be processed on Level 2 deviation.
Branch Relationship Customers	- Only Self Employed/Salaried/Other's individuals to be entertained in this segment. Others refers to Rental Income, Pensioners, Freelancers, Term Deposit, and any other regular income stream. - Only Self Employed/Salaried/Other's individuals to be entertained in this segment. Others refers to Rental Income, Pensioners, Freelancers, Term Deposit, and any other regular income stream. - Minimum 06 months deposit relationship criteria with JS Bank. - Average balance of PKR. 50,000 in last 6 months for customers with income proof - Average balance of PKR 75,000 as per t-24) or sum of credit transactions (margin to be defined) for customers who don't have income proof

Basic Eligibility Criteria	
	- Average of the sum of credit transaction of last three months of Rs,100,000. OR - For self-employed individuals, sum of credit transaction (average) for last 3 months must have average balance of PKR. 75,000. - For salaried customers, salary transactions (average) PKR. 35,000 in last 3 month. - For Tier 2 cities, all those customers with no relationship with the bank, will be eligible for credit card on condition that respective branch will support in collection of outstanding amounts, if any. <i>Any deviation would require approval from Level 2 Deviation.</i>
Asset Relationship Preferred Customer	- The Customer must have minimum 12 MOB asset relationship. - Asset relation 6 – 12 months will be Recommended by Head of Product or Distribution Head - For 6 month relationship portfolio to be capped at 5% - As it is a history-based enhancement therefore only current month's salary slip or 06 months Bank Statement shall be provided unless there is change in employment/business. - Debt Burden shall be applied as per policy. - Telephonic Verification will be mandatory. Physical Verification will only be required in case of change of Office or Residence address, Company & Business.
Credit Criteria for Issuance against Lien on TDR/Savings/Current A/C in PKR or other Foreign currencies maintained with JS Bank only	Lien based lending against saving/current/TDR accounts in PKR or Foreign currency to be allowed at the below mentioned LTV LTV 85% PKR Accounts LTV >85% and Up to 100% PKR Accounts - To be processed on deviation of Head of product & head of consumer risk - Auto Debit instructions of full monthly payment will be mandatory LTV 70% FCY Accounts - The lien marked amount shall be settled against the card outstanding amount where the customer reaches 60 DPD based on customer's provided direct debit authority. - Lien marking process will be managed by CAD & Operations.

Basic Eligibility Criteria		
Income Assessment Methods	Salaried Individuals	Income for Salaried Individuals will be assessed through salary slip or certificate showing complete break-up of salary or via bank transfers reflecting in bank statement.(either as acct. to acct transfer or IBFT, amount should match that on salary slip) Regular allowances, perks, performance incentive/overtime and bonus/expenses will be included in net income.
	Self Employed Businessmen/ Professionals	Income for Self Employed Businessmen/Professionals will be assessed from the Bank Statements (Clubbing of all Bank Statements owned by the customer to be allowed. Business and personal bank statement not to be clubbed). For partnerships, only pro rate partnership share in income will be considered (applicable in business bank statement only). Either personal bank statement or company bank statement both are eligible. - Joint accounts to be allowed, however joint account with spouse to be considered as single account. 50% of the calculated income will be considered) by calculating average monthly income or on the basis of documentary evidence provided by the customer to verify the source of income like copies of Tax returns, Rent Deed, Audited accounts of the Company/Firm, Income from Term Deposits, Foreign Remittance.Three Maximum and three minimum account balances of each month (for last six months) will be taken to calculate average income for each month. - For BRC customers, six months average balance of T-24 will be taken. - In case the criteria of three maximum and three minimum amounts is not met due to less number of transactions, then average of each month will be calculated based on number of available transactions. - Two dips in average income may be allowed in last six months. Moreover, there should not be consecutive dips in last two months/current month. For more than 2 DIPS in bank statement, case to be processed on Level 2 Deviation. - DIP is defined as OR average balance for the month is lower than minimum income criteria. - Bank statements can be clubbed together - In case of partnership accounts the applicant's share in average balance will be calculated on a pro-rata basis based on his/her share in the partnership. - In case of TDR/SSC, only monthly profit from TDR/SSC will be counted as income. In case an individual has provided Bank Statement of a Private Limited Company then the monthly income estimate shall be discounted by the percentage shareholding of the applicant. Shareholding percentage can be determined from Form-A or Memorandum and same shall be used to determine applicant's income from the Bank Statement. For DBR

Basic Eligibility Criteria					
		Calculation Company liabilities shall only be computed to the extent of applicant’s shareholding in the business.			
	All Segments (Other Income)	Income from source(s) – other than primary one – can be clubbed with the primary income to arrive at total income, if: • Customer has a secondary source of regular income. A maximum of 2 eligible secondary sources/businesses are allowed. • Customer has regular income in the form of Rentals. Rental agreement and/or copy of property documents will be obtained. 80% of the Rental income will be considered on Rental agreement or Property documents. Income should be reflected in bank statement. • Customer has regular income from an investment i.e. Savings Account, SSCs, DSCs and Regular Pay continuation plan by the Insurance Company/Employer. • Rental Income 80 % to be considered • NSS Instruments 80 % to be considered • Pension Income 100 % to be considered • Remittances 100 % to be considered			
Phone Line Requirement	Office landline (i.e. Telco Provided solutions, Direct line or PABX with extension, is allowed and where landline is not available or not responding physical office verification is mandatory. Residence landline is not mandatory; however personal mobile or wireless is allowed. Where mobile or landline is not available at residence, physical verification is mandatory. Email verification on registered address should also be considered				
Fraud List	No Solicitation from companies in Negative List, which will be developed by Fraud Risk Management Unit (FRMU) on the basis of market fraud trends. No lending to Applicants found in Negative Customers File maintained at FRMU. FRMU will share this list with CIU on monthly basis. Name clearance through Compliance Link must be performed and in case of an alert the case must not be processed unless the alert is resolved				
Prime Customers	Prime Customers is defined by JS Bank as all High Net Worth (HNW) Individual customers fulfilling requisite criteria as per their credit evaluation, which covers credit worthiness and financial position and other requisite assessments.				
	Following Additional checks to be required for Prime Customers				
	<table><tr><th>Eligibility</th><th>Criteria</th></tr><tr><td>Bureau</td><td> • At least 12 months of history on Bureau • Presently current/regular in all products • Not more than twice in 30 DPD in last 12 months • Never in 60 DPD </td></tr></table>	Eligibility	Criteria	Bureau	• At least 12 months of history on Bureau • Presently current/regular in all products • Not more than twice in 30 DPD in last 12 months • Never in 60 DPD
Eligibility	Criteria				
Bureau	• At least 12 months of history on Bureau • Presently current/regular in all products • Not more than twice in 30 DPD in last 12 months • Never in 60 DPD				

Basic Eligibility Criteria			
	Minimum Gross Income	- Salaried – PKR. 400,000* - EB Customers PKR 300,000 - Self-Employed businessmen/Professionals – PKR 700,000 - Includes Govt Officers of BPS 19 and above - Allowable Deviation of 50,000 in each segment (capped at 10%) *2% of monthly booking can vary from above defined criteria	
	Maximum Exposure	As per SBP Prudential Regulations	
	Multiples	Up to a maximum of 06 times of verified income or same as platinum	
	Debt Burden	As per SBP Regulations	
	- Any recommendation over and above the defined criteria, be jointly approved by head of products/consumer risk - Credit Limit/unsecured exposure as per the SBP PR.		
Signature Credit Cardholder	Income Criteria: Actual income criteria will be followed. - Any customer having no minimum relationship can avail Signature Credit Card services. Walk-In customer will be eligible for Signature Card upon Head of Private Banking recommendation, the application would be accessed as per defined income criteria. - High Risk profession category not to be applied for Signature Credit Cards - External Verifications: All EVs/ third party verifications would be waived for Signature Credit Card customers; Private Banking RM would prepare a verification report endorsed and approved by respective Regional Head /Head of Private Banking Credit limits: As per SBP regulation, - Limit enhancement should be based on Head of Private Banking and Head of Products recommendation.		

Basic Eligibility Criteria	
Freelancers	They will be considered under Self Employed category. Eligibility Criteria: Freelancer will be eligible for credit card if the customer has registered profile on following freelancer medium: • Fiver.com • Freelancers • Upwork • People Per Hour • Any other verified portal operational for last 6 months after verification. It is part of Self-Employed, other policy parameters shall remain the same Portfolio cap: 10% of the total portfolio
Close monitoring list	List of High Risk Segments • Money Changers • Journalists • Media Personalities (Only Anchors and Journalist should fall under this Category) • High Ranking Officials of Law Enforcement Agencies (Civilian Agencies /Paramilitary Forces) • Lawyers (Not Applicable on law firm owners or employees of reputed law firms) • Public Transporters (excluding goods transporters) with negative Verification and/or Collections feedback • Merchant Navy Officials • Real Estate Agents that are not well-known as per Credit Initiation Unit's assessment or have received negative Verification and/or Collections feedback • Non IATA Travel Agency Owners • Stock Exchange Brokers • Collection / Recovery Officers of banks (Not Applicable to Management cadres) • Sales officers primarily based on incentives (Not Applicable to Management cadres) In addition, staff from lower ranks including Company Drivers, Janitorial Staff, Cleaners, and Runners etc. Note: Solicitation from High Risk Segments may be done based on the following additional checks: • Must be either Existing or History Based Customer (min 12MOB)

Basic Eligibility Criteria	
	- E-CIB profile should be not more than-once in 30 dpd in last 12 months - All such accounts will be booked on the approval of Level 2 deviation Enhanced escalation JSBL Branch customers with at least 6 months of depository relationship and having PKR 100,000 minimum average balance over 6 months shall be exempted from the aforementioned high risk profession requirement
Non-preferred /focused Market Area	Non preferred target area to only be applicable on Self Employed New to Industry (NTI) Applicant's current residence should not be in non-targeted areas. The list will comprise where collection efforts are restricted due to law-and-order situation. - Non-targeted areas can be added/removed from the list with joint approval of Head of Products and Head of Consumer Risk. - This list will be maintained by Consumer Risk (Annexure A)
Politically Exposed Persons (PEP)	As per SBP guidelines Politically Exposed Persons are those individuals who are or have been entrusted with prominent public function, or an individual or companies clearly related to such person whose financial transactions may be of significant risk for the Bank. These may include senior executives of a government owned company, Senior Government Officials, Politicians, Judicial and Military Officials etc. and their close family members or associates. These may include the following - Heads of State/Government and members of the Senate, members of National & Provincial Assemblies - Ministers, Governors & Senior Advisers - Heads of Government Corporations - Military Officer with a rank Above or equal to of Brigadier or Equivalent rank - Judges (All categories of Judges) - Head of Police - Heads of Other Paramilitary Forces - Heads & Senior Members of Political parties - Ambassadors and Counsel Generals serving abroad - Foreign Ambassadors and Counsel Generals serving in Pakistan - Foreign Diplomats like Commercial & Military Attaches - Heads of Local Government - Any Individual retired from position as classified above for less than a year The above list of PEP individuals is subject to change as per Compliance circular. All guidelines mentioned in Compliance Circular will be complied. Parents, Spouse, Children & Sibling relationships of the Individuals classified as PEP may also be categorized as PEP.

Basic Eligibility Criteria		
	Loans to such persons should be approved on the following basis - Asset Relationship with any financial institution for more than 12 months - Never crossed 30 DPD in the last 12 months - All PEP cases with limit above PKR 1 million will be approved by Chief Risk Officer upon recommendation of GH-RBG. - Any deviation to above criteria will be jointly approved by GH Retail Banking and Chief Risk Officer.	
Pilot Programs/Bulk Deals	For Bulk Sales/Deals/Pilots where there is any deviation from existing criteria, will require approval from Head of Products , Head of Consumer Risk,	
Approved Companies List	Approved Companies List will be managed with the approval of Head of Product and Head of Consumer Risk.	
Company Induction	Criteria & Process for Company Induction / Upgrade & Down-grade will be managed with Head Consumer Risk approval. (Annexure B)	
Student Credit Card	Introduction: It is proposed to launched student cards targeting university students in the credit cards portfolio. In the initial phase, currently enrolled students in the top business schools of Pakistan would be targeted. Initially portfolio limit at Rs. 250 million. Target market: The following 3 customer segments would be targeted	
	Segment	Details
	Graduate and Post Graduate Students	- Includes students who currently have full time employment but are completing their graduate degree through either an evening or weekend program. - Actual income would be utilized to set limits
	Final Year Students – with part time employment/income	- Includes students enrolled in their last year at university and expected to graduate within the next two semesters who currently have a part time employment - Part time employment includes internships, freelance work, Teaching Assistants, remote jobs etc - Income from part time work would be utilized to set limits
	Final Year Students – with no current employment/income	Includes students enrolled in their last year at university and expected to graduate within the next two

Basic Eligibility Criteria		
		semesters who have no income source • If student is married then as per the consumer PR, income of spouse of the borrower may be considered while calculating the DBR, provided specific consent of the spouse is obtained and he/ she is reported as co-borrower in ECIB. • If not married, the following income proxies can be used: • -Student's University Fee • -Personal Bank Account of the student • -Parent's/Guardian's profile • This sub-segment would be capped at 20% of the whole student segment • Limit would be capped at PKR 40,000/-

Documentation

Documents Type	Segment	Remarks
Application form	All Segment	Original
SBP Undertaking (CF-1)	All Segment	Original
Legal/Charge Documents/SOC/Summary Box(Key Fact Statement)	All Segment	Original
CNIC/NICOP/POC/Smart ID/Passport	All Segment	Copy With O/S
NICOP Undertaking (If Required)	All Segment	Original
Sign Flow (If Required)	All Segment	Original

Salaried (Not Applicable for Employee Banking Segment)

Salary Slip/ Salary Certificate	LTM/STM	Original/Copy ,In case of copy it should be marked O/S Only required for EB Customers whose company's EB relationship with JSBL is less than 3 months.
Employment proof and length Document	LTM/STM	Copy With O/S
6-months Bank Statement (In case length of employment requirement is up-to 3 months, 3 months Bank Statement to also be acceptable)	Mandatory for STM	Original / Copy Should be stamped and signed by bank
Account maintenance Certificate (If Required)	LTM/STM	Original / Copy Should be stamped and signed by bank
Comfort Letter (For Foreign Nationals)	LTM/STM	Original

Self Employed Businessmen / Self Employed Professionals

6-months Bank Statement	SEB/SEP	Original / Copy Should be stamped and signed by bank
Account maintenance Certificate with applicant Name, CNIC, Account opening date and Status.(if required)		
No proof of business is required with JS Account holder SEB/SEP if the business name is same as given in KYC/JS T24 record.	SEB/SEP	Original / Copy Should be stamped and signed by bank
Form A, Form 29, MOA, Audit Financial (If Required)	SEB	Copy With O/S
Partnership Deed (If Required)	SEB	Copy With O/S
Copy of Professional Degree.	SEP	Copy With O/S
Membership Certificate of the relevant professional body / association (If Required)	SEP	Copy With O/S

Foreign Remittances

6 months remittance Slips / 6 Months bank statement of applicant	Original/Copy ,In case of copy it should be marked O/S
Account maintenance Certificate (If Required)	Original/Copy, In case of copy it should be marked O/S

Rental and/or other Income

Rental Income on the basis of rent agreement	All documents should be marked O/S
Regular Insurance Income	Should be verified by Insurance Co/Payer Institution
Tax Return	All documents should be marked O/S
Audited Financial Statement	All documents should be marked O/S
Term Deposit Income	All documents should be marked O/S
Saving Certificates	All documents should be marked O/S
Income Estimation through empanelled income estimation firm	All documents should be marked O/S
Foreign Remittance received from immediately family members (spouse, children and parents on regular basis)	All documents should be marked O/S
Landlord/ Agri Income	All documents should be marked O/S

Portfolio Caps

Cap Segment	Cap on Portfolio Exposure
Self Employed (SEB & SEP)	50% of Total Portfolio
Unapproved Companies	50% of Total Salaried
Deviations/Exceptions	15% of Total Portfolio
Salaried NTI - Income 35k-50k	50% of Total NTI Salaried Portfolio
Non-Collection Cities	15%

Any addition/deletion in above mentioned portfolio caps will be managed based on the recommendation of Business Head Credit Card / Head of Products and Head of Consumer Risk and approval of Chief Risk Officer without any further approval from IRMC.

Verifications

Verification Type	Requirement
Telephonic Verifications	• Verification Officer will call the residence and office/business on the application to verify the information and will record the comments on Telephonic verification sheet. Verification call must be performed through recorded channel & reference can be noted over verification sheet. Remarks of the verification office will be reviewed by the Credit Analyst/Manager at the time of decision of the application. • Telephonic Verification to be performed on the Residential/office contact points. One landline number shall be mandatory for unapproved/STM companies and SEB/SEP only. Landline waiver will be allowed without any deviation where physical office verification is positive. • Where Telephonic verification is not responding or out of order, busy etc. the cases will be processed based on positive physical verification of that address, without deviation. Waiver of physical verification may be provided on L2 Deviation • Where landline or UAN number is not available in office premises, Branches (BM) / EB (Team Leader) can conduct physical verification • The verification will be validated by GM and/or Head of Employee Banking if/when conducted by their team members.
Physical Verifications	• Physical Verification Staff will personally visit the residence and office/business address of the applicant to verify the information provided by the applicant in the application form. Physical Verification officer will record the comments on Physical Verification Report for review by Credit Analyst / Manager at the time of decision of the application. • Permanent & Contractual employees of category A & B companies, Government employees, Employee Banking Segment and JS Bank Staff will be exempted from Physical Verifications. Physical Verification will also be waived for applicants serving in Armed forces or Individuals serving in Highly Sensitive National organizations e.g. PAEC, KRL, NDC, NESCOM, GHQ etc.) • Residence Verification should be conducted for NTB customers and for ETB customers where there is a change in existing address listed in the system. • Customer with 6 months account relation or New Asset relation, will not need both physical verifications. Branch KYC sheet (T24 based or any system record) proving same address will waive the verification. In case of Address change Branch Staff will be allowed to conduct the verification (including Karachi, Lahore or Islamabad). • Cities that do not have a Verifications setup, Branch staff/Designated C&R staff will be authorized to conduct physical verifications of

	residence and/or office/business address (as per the criteria) of the applicant to verify the information provided by the applicant in the application form. Branch Manager/Ops Manager/C&R Staff shall sign & place stamp. For New to JSBL Customers (in Karachi, Lahore and Islamabad) verification will be conducted by External Verification Unit. • Validity of all Physical Verification Reports will be 2 months. Manager CIU can give one month further extension on case to case basis
Document Verifications	Verification Staff/Branch Staff will verify the Income documents either through Physical or Telephonic Verification For Credit Card cases pertaining to Branches, Branch Manager will sign a separate form confirming that Bank Statement has been verified only where verification was not possible through CR Verification teams.
Employment/Business Tenure Verification	Verification will be done either through Telephonic, Physical Verification or through official email address. <u>Salaried</u> Employment letter mentioning employment tenure /date of joining and salary breakup OR Any other document from which current employment tenure can be established. <u>Self Employed Professional</u> Relevant Supporting Documents Market Check <u>Self Employed Businessmen</u> Tax Returns, NTN, Bank Certificate or any other documentary Proof of Business Market Check Any document that can be verified from online portal of the issuing authority will be considered valid.
Employment/Business Proof Verification	<u>Salaried</u> Verified Employment Certificate (with breakup) from the company or HR/Admin/Finance/Accounts Salary Slip <u>Self Employed</u> Existence in the Business to be verified through Physical Verification

Credit Initiation

- Credit Initiation Unit will receive applications from Sales channels in the morning on daily basis.
- Credit Initiation Unit will perform e-CIB.
- The positive E-CIB will be attached with every case.
- Once CIB is completed, documents that need verification will be forwarded to verification department.
- NadraVerisys will be performed of the positive cases.
- Upon receipt of verifications and NadraVerisys Credit Initiation Unit will take decision on these cases.
- System will be updated for all decisions taken.
- Approved files are handed over to FRMU for eye-balling and vigilance.
- Approved Files will be handover to Operations for archiving.
- Rejected files are handed over to Data Collection teams for archiving.

Account Maintenance

Permanent Limit Enhancement

Policy

- Minimum one year same-account relationship
- The account should not be marked with Over-limit or any other adverse block code at the time of limit enhancement.
- On-us and off-us history checks as applicable for fresh applicant should be applied. The following same-card credit checks should also be applied:
 - Not more than once in 30dpd in the last 6 months
 - Not more than twice in 30dpd in the last 12 months
 - Never in 60dpd in the last 12 months
- Recent income documents should be obtained (as required for fresh solicitation)
- Fresh Debt Burden Ratio, calculated after taking 100% of presumptive enhanced limit and acceptable income into account, should not go beyond defined limits for fresh customers
- Industry-wide unsecured limit on Credit Card(s) & Personal Loan(s) combined should not go beyond PKR. 2 MM (PKR 5 MM for Prime customers) after limit enhancement
- Customer should have at least 12months card account relationship with the Bank. Any deviation to this would require L3 Approval.
- Maximum allowed limit multiples as per the segment category
- Time duration between two successive limit increase actions on a particular account should be at least 6 months
- Any enhancement request not qualifying based on the aforesaid criteria can be forwarded as a deviation would require L2 approval. Level 1 Deviation is required for Limit Enhancement above policy up to 20% of credit limit provided 1 year relationship has been completed
- Deviations will be processed as per the relevant deviation grid
- Limit enhancement to be done on customer's allowed DBR
- Telephonic Verification will be conducted on customer's provided contact details.
- In case, there is a change in customer's provided addresses, physical verification will be conducted.

Documents Required

- Customer's written request required.
Fresh Salary slip / certificate / Bank statement/CF Undertaking/CNIC copy

Bureau Check

- E-CIB and Bureau Information shall be checked. The prevailing criteria for fresh customers as stated in the PP shall be applicable.

Process

- Customer to provide written request for limit enhancement at Customer Correspondence Unit along with documents.
- Customer Correspondence Unit to send customer's request along with documents to Credit Initiation Unit for applying Debt Burden Ratio and other criteria.
- Credit Initiation Unit will send documents for verification.

- The Debt Burden Ratio and overall industry exposure shall remain the same as that for fresh customers.
- Upon successful verification, Credit Initiation Unit to allocate fresh limit and send the case to Card Ops - Maintenance Unit for limit enhancement.
- The fresh limit shall be applied as per the segment criteria stated in the Product Program.
- Card Ops to update limit and send a confirmation letter to the customer.

Temporary Limit Enhancement

Policy

Temporary Limit can be enhanced after minimum of 6 MOB to certain customers as per given criteria:

- On-us and off-us history checks as applicable for fresh applicant should be applied. The following same-card credit checks should also be applied:
 - Not more than once in 30dpd in the last 6 months
 - Not more than twice in 30dpd in the last 12 months
 - Never in 60dpd in the last 12 months
- Customer to provide fresh income documents. Temporary limit could only be enhanced provided there is increase in customer's income and or room available in Debt Burden Ratio.
- Minimum Card utilization should be 75% and at least has made full payment of maximum utilization once during the last 6 months.
- Temporary Limit enhancement can be made up to maximum of two months.
- Maximum temporary limit to be enhanced is 50% of the original limit for a period of no more than two months.
- Deviations will be allowed as per the relevant deviation guidelines
- Once the customer utilizes the temporary enhanced limit, his minimum payment billing shall be made as per 5% of the total outstanding balance.
- However, as soon as the tenure expires, the system should calculate minimum payment billing as 5% of the original credit limit + total outstanding balance exceeding original credit Limit. For example, Original Credit Limit = PKR 100,000/- Temporary Limit = PKR 25,000/-. After the expiry of temporary limit, the outstanding balance is PKR 120,000/-. The minimum payment will be: PKR 25,000/- (5% of 100,000 + 20,000).

Temporary credit limit for staff can also be enhanced up to 100% or PKR 2 Mn of the credit limit. Moreover, the staff's Group Head will recommend for temporary limit enhancement. For EVPs and SEVP, approval is required from Deputy CEO or CEO.

Documents Required

- Customer's written request.
- Fresh Income documents are required to ascertain if customer has not breached the regulatory criteria of % DBR and maximum exposure as per regulatory requirement.

Bureau Check

- E-CIB and Bureau Information shall be checked. The prevailing criteria for fresh customers as stated in the PP shall be applicable.

Process

- Customer's request to be forwarded to Credit Initiation Unit for e-CIB / Bureau check.

- Upon completion of file, the case shall be forwarded to Credit Policy for sign-off.
- The approved case shall be forwarded to Card Ops – Maintenance Unit to update limit in the system as per approval.
- Once the temporary limit touches the maximum time period, the original limit shall be updated.

Delegation Matrix

Temporary Limit Enhancement Up to 25%: Credit Policy Manager

Temporary Limit Enhancement Up to 50%: Consumer Risk Head

Temporary Limit Enhancement Up to 100% or PKR 2Mn (for staff only): For EVPs and SEVP, approval is required from Deputy CEO or CEO

Card Upgrade/Downgrade

Policy

- Credit Card can be upgraded after one year MOB. However, Downgrade can be made upon customer's request at any time.
- Customer on-us history should not be more than once in 30dpd.

Documents Required

- Customer's written request required for both upgrade and downgrade.

Process

- Customer to provide written request for upgrade/downgrade to Branch.
- Branch to send request to Credit Initiation Unit for system entry and approval
- Credit Initiation Unit will send the cases to Card Ops – For Product Upgrade/Downgrade.
- New Card to be sent to the customer as per existing process

Cross Product Blocking

Objective

For customers holding more than one product, there is a high probability that if he becomes delinquent in one product, will also default in the other one. Therefore, a cross-product blocking process needs to be initiated on Cards based on customer level delinquency status.

With this additional condition in place, system will continue to place blocks on Card accounts as per the current process, however, the delinquency status of other consumer products availed by Card customers will also be considered and permanent block will be placed accordingly.

Customer's highest delinquency status on any of the other availed product will be considered before placing block on Card accounts.

If customer is in 60+DPD in any other availed consumer facility from JSBL, Card facility will be temporarily blocked. Permanent block to be placed on Card at 90 DPD in other facility.

For example: For a customer availing two products with JSBL – Card and Auto Loan. If Auto Loan moves to 60 DPD while Card remains current, temporary block will be placed on Card account.

Blocking Process

Following is the process for cross product blocking.

- Consumer Policy & Risk Analytics will extract the list of Card accounts as per CPB policy.
- List of accounts will be forwarded to Card Operations. List will also provide the product name/s (codes) based on which permanent block is being activated. List will be forwarded to Card operations within the first 4 working days of every month.
- Upon receipt of Card Permanent blocking list, Card Operations will place permanent block on Card. TAT: 2 working days.
- On completion of the blocking exercise, confirmation mail will be sent to Consumer Policy & Risk Analytics by Card operations.

Unblocking Process

- Once card is blocked due to non-payment, customer have to request for unblocking the credit card.
- Consumer Policy & Risk will review the request and decide further for unblocking on basis of customer history.

Post-Blocking Process

- Card Operations should carry out a manual re-checking exercise the very next day (after blocking of account) in order to ensure that the account has been accurately processed. Card Operations shall be responsible for ensuring accuracy and resolving any service issues that surface as a result of error in execution.
- Consumer Policy & Risk Analytics would maintain an MIS of all the accounts that have been processed for blocking and would share this MIS with Product Management. The MIS would entail the Customer Number and block codes / reasons.

Card Operations

Card Operations Department

Credit card acceptance as a major tool to make payment is growing day by day. In order to keep up with this trend, operational support infrastructure has been established for operational efficiency and risk management associated with internal processes, systems and people.

The operational Support Infrastructure will be engaged in following core functional areas:

- Data Entry and Storage
- Card Production and Dispatch
- Customer Account Maintenance
- Dispute Resolution
- Settlement & Reconciliation
- Portfolio Management

Credit Card Data Entry and Storage

- Collection of Credit Application for Data Entry
- Data Entry Processing of Credit Application forms
- Quality Assurance of Data input
- Physical Archival of Credit Card Applications
- Original document retrieval and delivery on demand

Card Production and Dispatch

The main function of Embossing Unit would be to get the Credit Cards personalized and to facilitate the delivery to the customer within 7 – 10 working days..

Card embossing personalization will be carried out once the application is approved and end of day processing is over; embossing information is generated from System and embossing files will be made available for card production. Card Inventory Management Process will also be in place.

Customer Account Maintenance

All customer account maintenance related queries and requests will be managed under this unit. The core activities would be; Limit management, Auto Debit, Credit Shield, Card Replacement/Reinstatement/Cancellation/Shredding, Supplementary Card Processing and Customer Demographic Changes e.g. address change, email updation, telephone change, mother's maiden name, Date of birth change, embossing name etc.

Dispute Resolution

Disputes appear when a cardholder is dissatisfied with any amount reflecting in his monthly bill and cardholder notifies the same for correction/resolution. The complaints regarding disputed transactions can be logged as per the standard complaint resolution process of bank. These complaints will be reviewed for further processing and due diligence. In case of any dispute the cardholder would be required to provide written complaint mentioning the details of disputed transaction/s. The Charge back analyst will decide in accordance with the Bank's internal policy guidelines designed in preview of Visa International Operating Regulations, whether or not a financial temporary/permanent credit needs to be given against the disputed transaction till the time a final decision is taken and the case stands closed.

Settlement & Reconciliation

The core responsibilities of this unit is to extract data from Euronet/ T24 Systems and carry out due reconciliation of MIS reports extracted from different sources.

Euronet loads every day transactions carried out by cardholders and after an end of day run subsequently post these transactions to concerned card accounts. The System segregates all types of transactions such as Retail Purchases, Cash withdrawals through ATM & Cash counters, Payments through Cheques, Cash, Balance Transfers, Direct Debits and all types of fees & charges.

The Visa settlement of domestic transactions is done through Net National Settlement (NNS), with Standard Chartered Bank being the designated settlement bank in Pakistan.

However, the Visa settlement of foreign transaction is accounted for through FCY NOSTRO account. The FCY settlements will be made in US dollars and these dollars will be arranged through our Treasury.

Portfolio Management

Cardholder Payment processing

The customer payment processing has also been automated, whereby, customer may deposit the repayments through designated channels such as branches, ATM, Mobile banking, internet banking and drop boxes. All Payments received from designated channels are consolidated in respective, Sundry Accounts. At the end of day, payment files generated from respective channels and same will be uploaded in Euronet for giving credit to customer accounts.

Fee & Charges transactions

As per pre-defined parameter setup, system will post the charges & fees directly to the customer's account. These fee & Service charges are clubbed together under the head fee & Service charges as billed and receivable. However, Income monitoring in P&L will be carried out at respective fee/service charge level. In addition to above system generated transactions, manual transactions' adjustment flexibility would also be carried out under this unit.

All transactions, charges and fee are communicated to customers through monthly credit card statements. The statement follows a standard layout provided by payment scheme which includes customer name, credit limit, new activity, available limit, charges, due date, outstanding, minimum payment as well as transaction details and repayment coupon

Other Functions

These functions include Balance Transfer Facility Processing, Installment Plan Booking/Termination, Reward Points Management, Utility Bills Payment Management, Temporary Credit or re-presentment, Delinquent Accounts Management, Credit Shield Management, Limit Management, and Mail Management.

Collections

Monitoring of payments and due dates is done through systems. Collections module of Euronet provides the functionality and information required for this activity. The main aim of collection is to minimize the collection losses and save the bank assets, to control the losses and handle delinquent customers. The bank is following the collections strategy where it divides its portfolio as follows:-

- Pre-emptive Calling
- Front End
- Mid Range
- Hard Core
- Legal

Pre-emptive Calling

Pre-emptive calling is done 7 days before account's entering into delinquency status (first due date). The aim of this calling is to give a soft reminder to customer for reminding about due payment and make him / her conscious about benefit of maintaining good credit history. These calls will be made to customers who have gone into delinquency (1-29 dpd) in the last 6 months.

Front End

Front-End (FE) is the first collection bucket i-e 1-29 dpd in which delinquent accounts are queued. In FE, the focus is on telephone calling, supported by letter dunning and essential field visits. Tele callers (TC) will be responsible for in-house collection activities. Front End Tele callers' major responsibility is to educate customers to pay their dues in time and field coordinators will be responsible for external visit / activities (if required).

Mid-Range

- Midrange (MR) ranges from 30-89 dpd.
- MR is the bucket where an account is actually considered as a delinquent account and is part of the delinquency ratios (30+ dpd coincident and lagged). Thus collection effort must be more intensive, since the account is now moving to high risk.
- All transactions to be referred after 30dpd.
- Account is automatically blocked temporarily at 60dpd in the system till payment of minimum overdue amount by the customer.
- Preferably experienced resources are deployed in these buckets, which are responsible to call and visit on all accounts designated to them.
- At this stage the Collections Office (CO) must make a full assessment of the customer behavior and response to our calls. In case it is not positive the supervisor will be accordingly apprised.

Hard Core

- Customer that are listed in Hard-Core (HC) category of delinquency are considered as hindered defaulters and are probable future losses as compared with those in the FE or MR. These must be handled with a focused approach and efforts are intensified as compared with the previous buckets.
- Accounts are permanently blocked after entering into Hard Core and business relationship is permanently terminated with the customer.
- HC consists of three buckets i-e 90 dpd to 179 dpd.

- CO must be innovative and can use different to contact / approach customer i-e through reference, neighbor, colleagues and any other possible resource etc.
- In HC emphasis is shifted from in-house calling to external efforts and CO may have tele calling for gathering maximum information about the customer.

Dunning Letters and Legal Notices:

Dunning letters / Legal notices will be sent as defined in collection and recovery manual.

Special StatesSkip

All suspected skip accounts will be handled as per defined Skip Tracing Process. If an account is finally confirmed as skip the early write off may be taken obtaining prior approval of competent authority under approved Write-off policy.

Fraud

When an account is confirmed to be fraudulent, it will immediately be routed to FRMU and parked into special state. FRMU after completing its inquiry and findings will immediately take an early write-off. If account is not found to be fraud then it will be referred back to Collections for its working.

Deceased

- Collections will immediately obtain death certificate of deceased customer and contact his legal heirs for payment /settlement of the customer's obligations.
- In case of credit shield, the amount will be claimed from the insurance company after completing and forwarding all relevant documents.
- Case should be processed for early write off as per delegation matrix.

All calls made to customers will be recorded and stored for retrieval.

Recovery

Introduction

- Outstanding amounts, which are not paid over 180dpd, will be declared as loss. However, Recovery efforts will continue till the outstanding balance is recovered. This recovery activity is significant in minimizing JS Bank's losses.
- It is a continuation of collection cycle under the SM / Regional Collections Manager and would require coordination between HC COs and ROs, which will be arranged by the SM/Regional Collections Manager.
- The objectives of Recovery activities are to maintain the pressure on the customer created by HC COs and minimize the bank losses.
- The objective of recovery activities are:-
 - Maintain pressure on the customer created by HC COs.
 - Minimize Bank's losses.
 - To trace the customer to bring him on negotiation table for settlement.
 - To recover the loss / written off amount as soon as possible.

Legal Suit Filing

There is no specific trigger related with dpd to initiate the legal proceeding against the customer. Legal proceeding for collection / recovery of outstanding amount through banking court is a slow and costly process; hence, following policy is adopted for its implementation:-

- Collection may send legal notice to the willful defaulters, at any stage after obtaining approval from Head of Consumer Risk upon recommendation of Head of Collection & Recovery.
- At any stage of delinquency, supervisor / SM can recommend legal proceeding against the customer to Regional Collections Manager when following situation occurs:-
 - The customer is obstinate and does not heed to other forms of negotiations.
 - The balance outstanding justifies legal proceedings.
 - The customer is evasive and raises undue disputes / issues to delay payment.
 - Customer with high balance amount is not traceable.
- At 210 dpd SM/Regional Collections Manager will review all accounts for legal proceedings. The low balance amount should not be the only reason to abandon legal option as following impact may be considered irrespective of the balance amount:-
 - Give message to particular segment of market.
 - Keep accounts alive of old vintages.
 - Willful defaulters of hardened nature.
- On completion of review one of the following options will be affected
 - Continue with recovery efforts
 - Move to legal
 - Abandon the account
- All accounts having amount more than PKR 300,000/- will be forwarded to legal at 210 dpd.
- Accounts having amount between PKR 150,000/- to PKR 300,000/- will be referred to legal at 360 dpd. Filing of suits against accounts having amount less than PKR 150,000/- is left at the discretion of Head of Collection & Recovery.
- If an account is not referred to legal as per defined process then deferral must be obtained from GH-RMG to keep the account with recovery.

- Skip accounts will not be forwarded to legal until traced out or avoid getting time barred in case of high balance accounts and subject to availability of sufficient legal budget / funds.

Statement Cycles

There may be 6-7 payment cycles including one for staff. Statement cycles can be added as per the portfolio requirement.

Right of Set-Off

The policy allows JS Bank to debit a liability account of a customer (Current or Saving account in any currency, also applicable to Sole Proprietorship) for the outstanding amount to be off-set against that customer's delinquent / written-off account in any Asset Product. Dormant / Joint Accounts will not be set off (unless joint account allows either/or sign-off).

Fraud Risk Management & Card Authorization & Fraud Detection Unit (CAFD)

Introduction

Credit Card with higher volumes – low-ticket size transactions, is largely exposed to fraudulent intents on a routine basis. Fraud Risk Management Unit (FRMU) mainly deals in prevention, detection, deterrence, investigation and recoveries of fraudulent losses. This Unit is intended to prevent and minimize losses resulting from intentional malfunctioning by customers, unauthorized and fraudulent users.

FRMU is an independent authority and can conduct Surprise Reviews of any department in order to check process lapses, identify areas for development or highlight any breach of policy. The reviews will be based on the reports or observations of any fraudulent activity. FRMU can interrogate any staff at any time to get the information and highlight the issue to the Management if found any irregularity to safeguard the interest of the Bank.

Fraud Definition

"Fraud" is defined as "An action or a set of actions resulting in unauthorized usage of credit facilities where the person may or may not have participated with or without third party collusion, or a person has misrepresented his/her status to obtain a credit facility. It includes action or set of actions by any individual and/or service provider associated with the Bank, which might result in the misuse of confidential data and/or financial losses".

Fraud can be classified into two categories:

Employee/Internal Fraud

Internal fraud is defined as any deliberate or dishonest act committed by an employee (permanent headcount, contract staff or temporary staff) of JS Bank that result in actual or attempted financial wrongdoings, falsification of documents, or any act of deceptions to obtain improper financial benefits for one self or for the benefit of a third party.

External Fraud

External fraud can be defined where third parties, such as organized crime groups, external agency staff, dishonest businesses or individuals, take money from banks to which they are not entitled and refuse to pay back. In some cases fraudsters may work in collusion with bank staff.

Strategies of Fraud Risk Management

This process seeks to distil from a diverse range of sources, the most effective strategies and programs which have been used successfully to prevent fraud perpetrated against organizations and which have the greatest potential to prevent emerging instances of fraud in future.

Following five areas, which are described as "best practice in fraud prevention", are:

- a. Fraud Awareness and Education
- b. Fraud Prevention
- c. Fraud Detection
- d. Fraud Investigation and Recovery
- e. Fraud Deterrence

Each of these strategies and programs rely on various degrees and actions of FRMU staff as well as technology. The challenge lies, not only in identifying and publicizing these approaches but also in persuading the same. Please refer to FRMU Process Manual for further details and understanding.

Common Types of Fraud

The specific forms of fraud encountered in an issuing member's particular area largely determine fraud control efforts. Unfortunately, payment card fraud now encompasses a wide range of fraudulent and criminal activities involving an equally broad spectrum of perpetrators.

Some of the more frequently encountered forms of fraud include the following:

Lost and Stolen Cards: Losses resulting from fraudulent transactions in this category are those that occur after the cardholder has a card that was in their possession is lost or stolen. It does not include cards stolen from the mail, before the cardholder received it.

If the Card and/or the Supplementary Card is lost or stolen or the ATM PIN or T PIN is disclosed to any third party in whatsoever manner or the Card and/or the Supplementary Card is handed over by the Cardmember or Supplementary Cardmember to a third person, the Cardmember and/or the Supplementary Card shall immediately notify the said loss, theft or disclosure with all material particulars including the Card and/or the Supplementary Card number to the Bank and shall request the Bank to suspend/cancel/block the operations on the Card and/or the Supplementary Card reported lost or stolen and, upon receipt of such report from the Cardmember and/or the Supplementary Card, the Bank shall as soon as reasonably possible suspend/cancel/block the operations of the Card and/or the Supplementary Card and the Card Account.

Theft from Mail: An account is considered Not-Received-Item (NRI), when a new or re-issued card is mailed, but not received by the cardholder and not returned to the issuer.

Fraudulent Applications: The term "true name" fraudulent application refers to cases in which an individual obtains a payment card after knowingly using the personal information of someone other than himself or herself on an application for credit.

The use of false income information or residential status along with true name, address and other details is a credit issue and not considered payment card fraud.

Counterfeit: This category is used to classify losses that result from the use of a card or encoded magnetic stripe that is not produced and issued by the financial institution. The counterfeit card is manufactured illegally to look like a valid Visa card or by re-embossing and/or re-encoding the magnetic stripe on a once-legitimate lost/stolen, or expired card with different information.

Cardholder data used on counterfeit cards is obtained by criminals from various sources:

a. **Skimming.** The use of a device that reads and stores magnetic stripe information when a legitimate transaction is conducted. The device is then used to write the information onto another card, which is used for the fraudulent transaction. Skimming allows criminals to take possession of all cardholder data stored in the magnetic stripe, which includes the CVV, and other discretionary data.

b. **Point-of-sale (POS) terminals or PIN Entry Device (PED) Tampering.** The compromise and modification of POS terminals or PEDs to facilitate the capture of full magnetic stripe data and in some cases PIN data. In most cases device tampering does not interfere with the device's ability to process transactions. In some cases, the terminal captures the data but does not actually process the transaction, which makes the identification of the point-of-compromise rather difficult.

c. **Data Compromise.** The theft of cardholder data from merchants, processors or third party agents, normally via unauthorized server intrusions. Storage of unencrypted cardholder data by these entities facilitates this criminal activity. PINs are also captured with overlay devices positioned on legitimate unattended terminals, such as ATMs and automated fuel dispensers. In addition, hidden cameras are often positioned at or near POS terminals in order to capture PINs.

d. **Phishing.** A social engineering scheme where criminals masquerade as a legitimate financial services institution to obtain account data from the cardholder. Phishing is normally conducted via electronic mail, but telephone versions are also common. Because data is obtained directly from the cardholder, it normally includes the Personal Identification Number (PIN). Because of this, phishing enables ATM fraud.

e. **Pharming.** A social engineering scheme that is based on redirecting website traffic to another illegitimate site where customers unknowingly enter their personal data.

f. **Imprinting of extra (that is, multiple) transaction receipts by sales personnel.**

Account Takeover: Account takeover fraud results when someone other than the true account holder illegally obtains a valid card for that account from the card issuer. This type of fraud usually occurs when the perpetrator uses some true cardholder information to change the true cardholder's mailing address and has a card mailed to that address or has a card delivered to an alternate fraudulent address.

Fraudulent Use of Account Number: Fraud losses result from mail order/telephone order (MO/TO) and Internet purchases where the account number is used without the actual card being presented to complete the transaction. This is also referred to as card-absent fraud. Cardholder data use for card-absent fraud consists generally of the account number and expiration date, obtained by criminals from various sources.

The perpetrator usually obtains the valid account number from a hacker intrusion, discarded statement, phishing or pharming scheme, an account number-generating software program, dumpster-diving, or other sources.

Vigilance Process

CIU will forward all approved files to FRMU for review. On a daily basis, vigilance will be done at the FRMU office after physical and system approval of credit application files on a random sample basis.

FRMU will take a random sample of approved cases / files on daily basis. The daily vigilance optimum / minimum sample size would be 2-10%.

The cases will be reviewed thoroughly in order to check the sanctioned loan vis-à-vis the per defined credit policy. The officer will review the complete credit loan application and cross verify it with information gathered through

telephonic verifications as & when required. Physical verifications will be conducted if deemed necessary. Validation of the financial / income documents i.e. salary slips, bank statements, income tax documents, etc. will also be performed.

Fraud Investigation

Investigation is conducted for all cases where the fraud is either highlighted during vigilance, detection or once the fraud has been committed and highlighted by any department/source. Temporary Credit posting would be intimated to Asset Operation after reviewing the fraud type/nature of the case.in the case of plastic cards fraud event only.

Online Authorization Process

Request Processing for Voice & Referral Authorization: The Authorization Officer will process requests for Voice and Referral Authorizations, required information will be entered in authorization screen of Credit Authorization Management and request would be processed. If the response is approved, the approval code would be communicated to the Acquiring Bank.

If the response is decline, the acquirer would be informed that the transaction has been declined. Under any circumstances reason for decline will not be communicated to the acquirer. If the card member desires to know the decline reason, the cardholder will be advised to contact us directly and the same is to be communicated only after positive security checking.

The Authorization Officer will process requests for Forced Authorization, required information will be entered in Forced authorization screen of Credit Authorization Management and request would be processed. The approval code would be communicated to the Acquiring Bank after processing.

Authorization Reversals: Correspondence for reversal requests from the acquiring banks will be received on the fax or email.

The following is the procedure for processing authorization reversal requests:

- a. The Authorization officer will confirm the facts from the authorization display / transaction approval history screen, reverse the authorization after confirmation of facts over fax or email.
- b. The Authorization officer will reverse the transactions where human error is found in transaction details (transaction amount, card number etc.)

Block Code Placement: The process for Placement of Block codes would be carried out by Authorization staff upon request of Collections, Operations, Call Centre, FRMU etc. Temporary block codes ill be placed through Block Code Screen by entering the card number and requesting for placement of block code.

Block Code Removal: The process for Removal of Block codes would be carried out by Authorization staff upon request of Collections, Operations, Call Centre, and FRMU etc. Temporary block codes will be removed through Block Code Screen by entering the card number and requesting for placement of block code.

Temporary Limit Enhancement: The process of Temporary limit enhancement would be carried out by Card Facilitation Center (CFC) staff through Temporary Limit Enhancement screen. The mandatory fields for Enhancement of Temporary credit limit are Temporary Credit Limit Amount, Valid from YYMMDD and Valid to YYMMDD.

Fraud Detection

Monitoring and identification of out of pattern suspicious transactions and to detect any unusual upsurge, and to pro-actively identify any other fraudulent / suspicious activity FRMU has developed several control functions to handle and take appropriate actions against any such activity. Transactional monitoring functions are performed through an automated rule-based system called VISA RISK MANAGER which is fully capable to identify and breach and generate an alert on a real time basis in order to minimize fraud loss exposure.

The unit performs transaction monitoring activity with a purpose of highlighting any abnormality appeared on JS Bank plastic card. The unit works to identify fraudulent activities and to take remedial measure to mitigate fraud risk.

Transaction monitoring function not only helps bank to reduce fraud losses but also prevent fraud attacks and unexpected disasters on cards portfolio. The function also helps the bank to save from potential losses but also creates a good impression amongst its customers

Key Functions:

Detect fraudulent transactions Through predefine rules set for high-risk transaction monitoring & verify them from card holders.

- Initiate proactive measures to curb fraud.
- Identify rising trends to execute timely corrective action.
- Save cards business from risk and exposure to losses, more specifically fraud.
- Review STIP (Stand in Processing).

Transaction Confirmation: Fraud Detection Officer would confirm transactions from cardholders appearing/tripping through Incident Management Module in VRM (VISA Risk Manager) system. Customer would be contacted on the contact details appearing in system. FDU will cover the minimum size of transactions review approx 10% of the total volume and all disputed transactions will be referred to FRMU INVESTIGATION for further processing.

Fraud Provision & Write-off Policy

Fraud Cases (Identity Theft / Engineered Fraud) will be written off with the approval of designated authority as soon as preliminary investigations indicate that recovery in terms of outstanding amount in all cases. Cases written-off will be equal to 100% provisioning. Any amount recovered will be treated a Fraud Recoveries.

Once a fraud case is written-off, all interest and fee recognition will be discontinued. Appropriate authority will review the write-off amount and upon approval, the amount will be debited to Fraud Provision A/C and credited to Write-off A/C. Fraud budget allocated in future will be based upon the actual fraud cases highlighted

- Manager Authorization and Fraud will have the authority to approve all Fraud Write-offs within the budgeted amount
- Consumer Risk Head will have the authority to approve all Fraud Write-offs exceeding the budgeted amount.

Fraud Reporting

Beginning of every month a fraud MIS report will be submitted to SBP and Audit department regarding incident/fraud reporting, all electronic transactional fraud related cases will be reported to State Bank of Pakistan, whereas the remaining would be reported to Audit department (for onward submission to SBP) after the comprehensive review and approval from Head of FRMU.

Fraud reporting to card associations (VISA,) would be done through VRM system on as and when basis within 60 days

Transaction Authorization Approval Matrix

Transaction Authorization Approval Authorities

The Authorization requests for all JS Bank Credit Card transactions would be carried out according to below mentioned Delegation Matrix;

S.No	Designation	Amount
1	Fraud Analyst	Max up to 250,000
2	Fraud Analyst Supervisor	Max Up to 400,000
3	Manager Authorization & Fraud Detection	Max up to 499,000
4	Head FRMU	500,000 to 699,000
5	Chief Compliance Officer	700,000 & Above

E

Block Code Delegation Matrix

Below mentioned is the Delegation Matrix for Block Codes placement and removal along with relevant authorities:

Approval Authority	Plastic Code Placement	Status Code Placement	Plastic Code Removal	Status Code Removal
Consumer Risk Head	All	All	All	All
Policy Manager Credit Cards	O – Block Plastic	C – Cancelled G – Charge-Off I – Inactive/Dormant L – Cancelled-Legal Proceedings N – NPL Accounts O – Bankruptcy by Other Party	O – Block Plastic	
Head of Collections	O – Block Plastic	B – Bankruptcy by Bank D – Cardholder Deceased G – Charge-Off I – Inactive/Dormant L – Cancelled-Legal Proceedings N – NPL Accounts O – Bankruptcy by Other Party R – Written Off S - Suspended	O – Block Plastic	I – Inactive/Dormant S - Suspended
Regional Collections Manager	O – Block Plastic	B – Bankruptcy by Bank D – Cardholder Deceased G – Charge-Off I – Inactive/Dormant L – Cancelled-Legal Proceedings N – NPL Accounts O – Bankruptcy by Other Party R – Written Off S - Suspended	O – Block Plastic	
Manager FRMU & Authorization	O – Block Plastic L – Lost Plastic S – Stolen Plastic X – Counterfeit Plastic	F – Cancelled (Fraud Reason) O – Bankruptcy by Other Party	O – Block Plastic	F – Cancelled (Fraud Reason)
Manager Authorization & Fraud	O – Block Plastic		O – Block Plastic	
Shift Supervisor OLA & FU	O – Block Plastic L – Lost Plastic		O – Block Plastic	

Approval Authority	Plastic Code Placement	Status Code Placement	Plastic Code Removal	Status Code Removal
	S – Stolen Plastic			
Officer OLA & FU	O – Block Plastic L – Lost Plastic S – Stolen Plastic		O – Block Plastic	
Head of Operations	O – Block Plastic	C – Cancelled V – Voluntarily Closed W – Restructured Account	O – Block Plastic	V – Voluntarily Closed
Manager Card Operations	O – Block Plastic	C – Cancelled V – Voluntarily Closed W – Restructured Account	O – Block Plastic	
Credit Initiation Unit Manager	O – Block Plastic	C - Cancelled	O – Block Plastic	
Head of SQ	O – Block Plastic L – Lost Plastic S – Stolen Plastic		O – Block Plastic	
Manager Call Center	O – Block Plastic L – Lost Plastic S – Stolen Plastic		O – Block Plastic	
Call Center Agent	O – Block Plastic L – Lost Plastic S – Stolen Plastic			

All plastic code placement requests at Call Center would be taken on recorded line and Exception file would be updated by Authorization Department with proper memo updated against the card account

Plastic/Status code placed by Authorization department due to error would be removed after approval signed off by Country Head FRMU & Authorization

Provisioning & Write-Off Policy

General Reserve against Consumer Financing

The banks/DFIs shall maintain a general reserve at least equivalent to the percentages given below of consumer finance portfolio (net of cash collateral, govt. securities and gold), to protect them from the risks associated with the economic cyclical nature of this business.

The above reserve requirement will, however, be maintained for the performing portion only of consumer portfolio.

Category of Financing	NPL/Gross Loans	Rate of General Provision
Unsecured Portfolio	<5%	4.0%
	>5% < 10%	5.0%
	>10% ≤20%	6.0%
	>20%	7.0%

Classification and Provisioning

The credit card advances shall be classified and provided for in the following manner:

Classification	Determinant	Treatment of Income	Provision to be made
Loss.	Where markup/interest/profit or principal is overdue by 180 days or more from the due date	Unrealized markup/interest/profit to be put in Suspense Account and not to be credited to Income Account except when realized in cash	Provision of 100% of the difference resulting from the outstanding balance of principal less the amount of liquid securities with the Bank/DFI

Contractual Charge-off / Write-off Policy

Accounts are charged off when they are no longer considered collectible through normal collection process. Charge off occurs at 360 DPD aging. When outstanding against charged off accounts is received from the debtors, these are treated as recoveries and posted in the GL on the income side of the P&L.

Financial Treatment for Charged-off Accounts

At the time of Charge-off, Markup Accrual will cease and all buckets will be dissolved. Account in the system will not be available for any activity and no repayments will be accepted to alter balance.

Early Write-off

An early write-off is allowed in case of death of the customer with all the necessary approvals. Specific subjective provision can also be made where an account has not reached 180 days past due but situation suggests that the account is uncollectible e.g. fraud, skip etc.

Finance

Temenos (T-24): All the payments received from cardholder first will be recorded in Temenos, and then it will be updated in Euronet during the batch run of Euronet. All the financial reporting is being done by ORACLE Financials (OFS) General Ledger and all the relevant financial data is transfer from T-24 to OFS GL on next start of day through uploading the T-24 file.

ORACLE Financials (OFS – General Ledger): As mentioned above all the financial reporting is carried out via OFS GL. Data is transfer from T-24 to OFS as per defined mapping between the accounts of both the systems. In MPR specific accounts are mapped with specific MPR lines which are bifurcated on the basis of nature of the accounts.

Card Access Point Setup

Access point has been setup in the Datacenter & COK by VISA. This will be utilized for routing all transactions through Euronet.

P3 Personalization System

Thales P3 personalization system has been setup for chip card production for JS Bank. The system is used for data preparation & personalization of Chip cards.

Annexure A – Non Target Area List

Karachi	
1	Baghdadi Colony
2	Jalalabad
3	Ranchore Line
4	Lyari
5	Bihar Colony
6	Chakiwara
7	Shirin Jinnah Colony
8	Zulfiqarabad
9	Pehelwaan Goth
10	Surjani Town
11	Baldia Town – (Baldia Saeedabad is not negative area)
12	All Goth and Bastis, Katchi Abadis & Un-sequenced areas in Karachi
Hyderabad	
1	Taluka Tando Jam (Case to Case Basis)
	Other than GOP
2	Taluka Qasimabad
	Sarish Nagar
	Sheedi Goth
	Marvi Town Kachi Abadi
	Soomra Goth (Case to Case Basis)
	Karan Khan Shoro Goth
3	Taluka Latifabad
	People's Colony
	Kachi Abadi Area of Unit#5
	Amani Shah Colony of Unit#11
	Unit#12 excluding Mir Khan Colony
4	Taluka Hyderabad
	Natha Goth
	Islamabad old power house
	Sakhi wahab colony
	Al-shafique colony
	Khwaja Gharib Nawaz colony
	Kanch Mill Area
	Makrani Para
	American Quarters
	Bengali Para
	Kacha Qila
	Villages surrounding Sadique Livena
5	Taluka Kotri (District Jamshoro)
	Khuda ki Basti
	Bihar colony
	Khursheed colony

Lahore	
1	Bakar Mandi
2	Band Road (River Side Only)
3	Data Nagar
4	Ferozwala
5	Imamia Colony
6	Kot Abdul Malik
7	Kot Khwaja Saeed
8	Mustafa Colony
9	Raza Colony
10	Sirshar Town
11	Usman Gunj
12	Usman Pura
Multan	
1	Chowk Bazar (Walled City)
2	Kali Mandi (Walled City)
3	Walled City
	Haram Gate (Inside)
	Bohar Gate Bazar & Inside
	Lohari Gate (Inside)
	Hannu ka chajja (Walled City)
4	Chah Chat Wala
5	Basti Nariwal
6	Iqbal Nagar
Islamabad / Rawalpindi	
	Areas along Nala Lai
	Chohar Pal
	Dheri Hasanabad
	Dhok Ratta
1	Liaquat Bagh (Except College Road)
2	Pir Wadhai
3	Raja Bazar
4	Sadiqabad (Except Afandi Colony, Khurram Colony, Al Noor Colony, Arshi Masjid Area & Magistrate Colony)
5	Sultan Ka Khu
6	Teli Mohallah
7	Gunj Mandi
8	Dalgran Bazar
9	Bara Kahu (Adjacent Villages Only)
10	All Dhoks in Rawalpindi / Islamabad except Dhok Ali Akbar, Banaras, Chaudhrian, Farman Ali, Hafiz, Kala Khan, Kashmirian, Khabba & Paracha.
11	Nilore Factory

Annexure B – Company Induction Criteria

Eligibility Criteria for fresh company induction

- Local Large Corporate / Multinational company
- SME/Retail/Corporate relationship with JSBL with ORR Rating or JSBL Group Company
- OR the company should meet any one of the following criteria
 - Public Limited Company / Private Limited Company
 - Registered with the Securities and Exchange Commission of Pakistan
 - Company doing business for at least 5 years

Company qualifying on the aforementioned **eligibility criteria**, will be assigned company category post thorough review of its financials and any other significant information available on the company. All company inductions / exceptions will need to be approved by Business Head - Credit Card and **Head of Consumer Risk**.

Company that already has an ORR rating with the bank (**JSBL**) will be assigned company category as per the grid below. Documentation requirements will not be applicable for JS Group Companies and companies that have an ORR rating or Corporate/Commercial/SME Relationship with the Bank (**JSBL**).

JS Group Companies to be inducted as Category A.

ORR Rating	Company Category
1-7	Approved Company Category
8-9	Considered as exception
10-12	Delist

Any exceptions to the aforementioned ORR rating criteria will require approval from **CRO**.

*****Documentation Requirements***

For fresh induction in Approved Company Category

Consumer Asset Business will be responsible to send the following documents to **Credit Policy** for Company Induction along with approval from Business Head - Credit Card.

- Latest Annual Audited Financials (if available)
- Company Pay Slip Format or Salary certificate on Company Letterhead.
- Complete Prescribed *Form (Includes)
 - ✓ Company Name
 - ✓ Company Address & Phone Numbers
 - ✓ Total Employees
 - ✓ Eligible Employees
 - ✓ Anticipated Accounts

**** Exceptions will require approval from Business Head - Credit Card and Head of Consumer Risk.**

***Form to be used will be provided by Credit Policy.**

Company Approval Grid

Following is the *Company Approval Grid* which will be used for company induction and accordingly company category will be assigned based on the qualified score.

Company Classification Grid				
Type of Company	Local Large Corporate/ Multinational 20	Public Ltd / SE / Govt. 15	Pvt. Ltd. 10	Partner / Sole 2
Total No. of Employees	>500 15	300-500 10	100-299 5	<100 2
Years In Business	>15 yrs 15	5-14 yrs 10	3-4 yrs 5	<3 yrs 2
Turnover / Revenue	>500M 20	200-500M 10	50-200M 5	<50M 0
Capital (Equity + Reserves)	>500M 20	100-500M 10	15-100M 5	<15M 3
Industry				
Industry	Points			
Fuel & Energy / Oil & Gas	10			
Banking & Financial Services	9			
Social Administration / Embassies / NGOs	8			
Chemicals & Pharma	8			
Communications & Electrical	7			
Consumer Products / Manufacturers, Distributors & Marketing Services	7			
Food & Allied	7			
Textile & Garments	6			
Cement , Steel & Engineering	5			
Education	4			
Hotels & Travel related Services	4			
Information Technology / Internet Service Providers	3			
Trading / Exports & Imports	3			
Score	Company Category			
Below 55	C			
Score 56-80	B			
Score 81-90	A			